

RELIGARE

BURMANS IN CONTROL

After a long battle, the Burman family has seized control of Religare. It needs to infuse money and get it back on track

BY KRISHNA GOPALAN

► **THE LONG, ARDUOUS** battle between the Burman family, owners of consumer goods major Dabur India, and the management of Religare Enterprises reads like the plot of a book or TV show. A corporate takeover bid that is opposed by the management, with multiple twists and turns, replete with allegations and counter allegations, and even a rival takeover bid from a foreign investor.

The nearly 18-month-long saga since the Burman family made a ₹2,116-crore open offer for 26% of Religare shares to take their holding beyond the 50% mark seems to have come to a conclusion. On February 20, the Burman Group announced it had acquired control of Religare and had been designated as the promoter of the company.

The offer was triggered automatically after the Burman family had incrementally increased its shareholding in the company over the years to 25%.

With the Burman family finally in the driver's seat at Religare—which has four businesses: health insurance, SME lending, capital market broking and affordable housing finance—it is looking to act quickly to put the past behind it and grow the company.

Indeed, it needs to bring a measure of stability to a firm that has been embroiled in trouble intermittently for more than a decade now. Its original promoters,

Malvinder and Shivinder Singh, were accused of diverting funds in a group subsidiary between FY14 and FY18, leading to their arrest. Rashmi Saluja (*pictured*) was brought in as a non-executive independent director by the end of 2018 and became Executive Chairperson a year later as the firm sought to overcome its troubles. Around that time, the Burman family, through their group entities, began buying Religare's shares in the open market and by September 2023 increased their holding to 25%.

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